EUROPEAN COMMISSION
DG Competition

Case M. 11481 – SYNOPSYS / ANSYS

Only the English text is available and authentic.

REGULATION (EC) No 139/2004
MERGER PROCEDURE

Decision on the implementation of the commitments - Purchaser approval
Date: 23/05/2025

EUROPEAN COMMISSION

Brussels, 23.5.2025
C(2025) 3485 final

PUBLIC VERSION

In the published version of this decision, some information has been omitted pursuant to Article 17(2) of Council Regulation (EC) No 139/2004 concerning non-disclosure of business secrets and other confidential information. The omissions are shown thus […]. Where possible the information omitted has been replaced by ranges of figures or a general description.

Synopsys, Inc.
675 Almanor Avenue
Sunnyvale, CA 94085
United States of America

ANSYS, Inc.
2600 ANSYS Drive
Canonsburg, PA 15317
United States of America

Dear Sir or Madam,

Subject: Case M.11481 – SYNOPSYS / ANSYS
Approval of Keysight Technologies, Inc. as purchaser of OSG Divestment Business and the PCA Divestment Business following your letter of 15 April 2025 and the Trustee's opinion of 9 May 2025

1. FACTS AND PROCEDURE

(1) By decision of 10 January 2025 (the "**Decision**") based on Article 6(1)(b) in connection with Article 6(2) of Council Regulation No 139/2004[1] and Article 57 of the Agreement on the European Economic Area,[2] the Commission declared the operation by which Synopsys, Inc. ("**Synopsys**", United States of America) will acquire, within the meaning of Article 3(1)(b) of the Merger Regulation, sole

[1] OJ L 24, 29.1.2004, p. 1 (the "**Merger Regulation**"). With effect from 1 December 2009, the Treaty on the Functioning of the European Union ("**TFEU**") has introduced certain changes, such as the replacement of "Community" by "Union" and "common market" by "internal market". The terminology of the TFEU will be used throughout this decision.

[2] OJ L 1, 3.1.1994, p. 3 (the "**EEA Agreement**").

control over ANSYS, Inc. ("**Ansys**", United States of America, together with Synopsys, the "**Parties**") compatible with the internal market following modification by Synopsys and Ansys, subject to conditions and obligations (the "**Commitments**").

(2) In particular, the Commitments provide that Synopsys will divest its entire optical and photonics business to a suitable purchaser ("**OSG Divestment Business**") and that Ansys will divest the business comprised of researching, developing, distributing, licensing, selling, marketing, commercialising and otherwise making available the register-transfer-level ("**RTL**") power consumption analysis ("**PCA**") product commercially distributed by Ansys as *PowerArtist* ("**PCA Divestment Business**", together with the OSG Divestment Business, the "**Divestment Business**").[3] Paragraphs 889 and 911 of the Decision contain a detailed description of the Divestment Business.

(3) By letter dated 15 April 2025, the Parties proposed Keysight Technologies, Inc. ("**Keysight**" or "**Proposed Purchaser**", United States of America) for approval by the Commission as purchaser of the Divestment Business and submitted two distinct proposed purchase agreement (the "**Reasoned Proposal**"). On 3 September 2024, Synopsys signed a purchase agreement for the sale of the OSG Divestment Business to Keysight (the "**OSG PA**"). On 21 December 2024, Ansys signed a purchase agreement for the sale of the PCA Divestment Business to Keysight (the "**PCA PA**", together with the OSG PA, the "**Transaction Agreements**"). On 6 May 2025, S&W Partners LLP[4] (the "**Trustee**") submitted an assessment of Keysight's suitability as a purchaser and, in particular, indicated that Keysight fulfils the criteria of the purchaser requirements in section D of the Commitments attached to the Decision (the "**Reasoned Opinion**"). In this assessment, the Trustee also indicated that, on the basis of the OSG PA and PCA PA, the Divestment Business would be sold in a manner consistent with the Commitments.

2. ASSESSMENT OF THE PURCHASER CRITERIA

(4) The sale of the Divestment Business to Keysight is subject to the Commission's approval. In order to assess whether Keysight is a suitable purchaser for the Divestment Business, the Commission verifies that the conditions set in paragraph 18 of the Commitments are met, notably that:

(a) The purchaser shall be independent of and unconnected to the Parties and their affiliated undertakings;

(b) The purchaser shall have the financial resources, proven expertise and incentive to maintain and develop the Divestment Business as a viable and active competitive force in competition with the Parties and other competitors;

(c) The acquisition of the Divestment Business by the purchaser must neither be likely to create *prima facie* competition concerns nor give rise to a risk that the implementation of the Commitments will be delayed. In particular, the

[3] Form RM of 9 January 2025, paragraph 1.1.

[4] On 31 March 2025, Evelyn Partners LLP changed its name to S&W Partners LLP. This name change is without prejudice to the Commission's Monitoring Trustee Approval Letter sent by the Commission to the Parties on 14 February 2025. In addition, further updates to the Reasoned Opinion were provided by S&W Partners LLP on 22 May 2025.

purchaser must reasonably be expected to obtain all necessary approvals from the relevant regulatory authorities for the acquisition of the Divestment Business; and,

(d) The purchaser of the PCA Divestment Business shall be active in the electronic design automation ("**EDA**") sector.[5]

(5) Keysight is a technology company, listed on the New York Stock Exchange, specialising in creating tools and technology for testing and measuring electronical equipment. Keysight's core business revolves around supplying hardware for the design, emulation, and testing of electronic systems. In addition to its hardware offerings, Keysight provides a range of advance software tools designed to support electronic design, simulation, and testing. Keysight's products and services feature in the following sectors: telecommunications, aerospace and defence, automotive, energy, semiconductor and general electronics. It owns over two thousand patents in respect of its product portfolio.

(6) Keysight was formed in 2014 as a spin-off of Agilent Technologies (United States of America), a provider of instruments, software, services, and consumables for laboratories.[6] Keysight is headquartered in Santa Rosa, California and employs around 15 000 employees worldwide. In 2024, Keysight reported approximately USD 5 billion in revenue.

(7) The Commission will assess whether Keysight satisfies these criteria for each Divestment Business in the sections below. Given that the criteria set out in paragraphs 18(a) to 18(c) of the Commitments apply equally to each Divestment Business, the Commission will assess each criterion for the Divestment Business overall. As the criterion set out in paragraph 18(d) of the Commitments is only applicable to the PCA Divestment Business, the Commission will assess this criterion separately and only for the PCA Divestment Business.

2.1. Independence from the Parties

(8) Pursuant to paragraph 18(a) of the Commitments, the purchaser shall be independent of and unconnected to the Parties and their affiliated undertakings. Based on the information provided by the Parties and the Trustee, the Commission considers that this criterion is fulfilled by Keysight.

(9) **First**, according to the information provided by the Parties and the Trustee, there is no cross-shareholdings or cross-directorships between either Party and Keysight.[7]

(10) Keysight does not appear on the list of shareholders of Synopsys or Ansys who hold 2% or more of voting rights or equity in either Party. No director of Keysight is serving as a member of the board of either Party.

(11) Synopsys and Ansys do not have any direct or indirect ownership interest in Keysight. No director of Synopsys or Ansys is on the board of any entity controlled by Keysight.[8]

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5 Final Commitments, Section D.

6 Agilent Technologies was itself created as a result of a spin-off from Hewlett-Packard in 1999.

7 Reasoned Proposal, paragraph 13; Reasoned Opinion, paragraph 4.3.3.

8 Reasoned Proposal, paragraph 13.

(12) Keysight has also confirmed that there are no joint ventures between Keysight or any of its group companies, on the one hand, and Synopsys and/or Ansys, or any of their respective group companies, on the other hand.[9]

(13) **Second**, the existing structural and commercial links between Keysight and the Parties are very limited and do not create any relationship of dependency.

(14) In particular, from Keysight's perspective:

(a) ***Pre-existing […] agreements.*** Keysight is an EDA partner to both Ansys and Synopsys and some of Keysight's tools […] with those of Synopsys and/or Ansys. The Trustee has identified at least […] agreements, all of which are renewed on a yearly basis.[10] Even though Keysight has several […] agreements with Synopsys and Ansys, the Trustee has confirmed that […] agreements […] between Keysight and the Parties do not appear to represent a material revenue for either Keysight and/or the Parties as they represent a relatively nominal value.[11]

(b) ***Proportion of sales to the Parties.***[12]

– Synopsys' purchases from Keysight do not represent a meaningful percentage of Synopsys' overall revenue; and,

– Ansys purchases limited software and services from Keysight, and it does not represent a meaningful percentage of Ansys' overall revenue.

(15) From the perspective of the Parties, the proportion of sales to Keysight is as follows.[13]

(a) Keysight's purchases from Synopsys represent less than [0-5]% of Synopsys' total revenue; and,

(b) Keysight's purchases from Ansys represent less than [0-5]% of Ansys' total sales.

(16) The Trustee therefore concluded that it is unlikely that either Synopsys or Ansys could be considered as one of Keysight's key customers or suppliers and vice versa and Keysight does not appear to be dependent on the sales or purchases to and from the Parties.[14]

(17) **Third,** although there will be a limited number of transitional service agreements ("**TSAs**") between the Divestment Business and the Parties, these are in line with the Commitments.

(18) Keysight and the Parties will:

(a) enter into customary TSAs regarding the OSG Divestment Business and the PCA Divestment Business respectively. These TSAs focus predominantly on

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9 Reasoned Opinion, paragraph 4.3.4.

10 Reasoned Opinion, paragraph 4.3.16. For completeness, the Commission notes that […] with Ansys signed on […] has an initial term of […], after which it […] until notice is given. Thus, the Commission considers that despite this initial term (which expired on […]), all […] are currently renewable (or can be ended) […].

11 Reasoned Opinion, paragraph 4.3.18.

12 Reasoned Proposal, paragraph 4.3.16.

13 Reasoned Proposal, paragraph 4.3.16.

14 Reasoned Opinion, paragraph 4.3.18.

IT support such as data migration, network connectivity, or applications management and support.[15]

(b) have links through […] and […], which will expire between […] and […].[16] Synopsys has committed to removing the OSG license keys from […] or OSG products from […] at the next applicable renewal point.[17]

(19) Synopsys has submitted that Keysight will provide ongoing support and maintenance for the OSG products that the customers already have access to under their existing license ([…]).[18]

(20) On the basis of the information provided by the Parties and taking into account the Reasoned Opinion submitted by the Trustee, the Commission concludes that Keysight is, and will continue to be, independent from, and unconnected to, Synopsys and Ansys and their affiliated undertakings.

2.2. Financial resources, proven expertise and incentive to maintain and develop the Divestment Business as a viable and active competitor

(21) Pursuant to paragraph 18(b) of the Commitments, the Purchaser shall have the financial resources, proven expertise and incentive to maintain and develop the Divestment Business as a viable and active competitive force in competition with the Parties and other competitors. Based on the information provided by the Parties, Keysight and the Trustee, the Commission considers that this criterion is fulfilled by Keysight.

2.2.1. Financial resources

(22) **First**, the Parties have submitted that Keysight has substantial financial resources to enable it to integrate effectively and further grow the Divestment Business. This is reflected in Keysight's key financial indicators.[19]

(23) In 2024, Keysight reported approximately USD 5 billion in revenue. Keysight's net income was USD 614 million, USD 1 057 million and USD 1 124 million in 2024, 2023 and 2022, respectively.[20]

(24) In addition, Keysight has provided to the Trustee its profit and loss account for the last three years, and the Trustee took the view that "*Keysight's financial statements show relatively low debt levels which are indicators of Keysight's liquidity and solvency*".[21]

(25) **Second**, in 2024, 2023 and 2022, Keysight has generated operating cash flows of USD 1 052 million, USD 1 408 million and USD 1 144 million, respectively.[22]

(26) According to the Trustee, despite the recent decrease in cash outflows, Keysight remains a profitable business and has acquired multiple businesses in the past three

15 Reasoned Opinion, paragraphs 4.3.21 and 4.3.22.
16 Reasoned Opinion, paragraph 4.3.26 and Final Commitments Schedule 1 and Section 3.
17 Reasoned Opinion, paragraph 4.3.27.
18 Reasoned Opinion, paragraph 4.3.25.
19 Reasoned Proposal, paragraph 14.
20 Reasoned Proposal, paragraph 14.
21 Reasoned Opinion, paragraph 5.3.14.
22 Reasoned Proposal, paragraph 14.

years.[23] In that respect, the Trustee highlighted that the recent decrease in cash outflows is due to Keysight's operations, financing and investing activities, and have not prevented Keysight to maintain strong liquidity and low leverage.[24]

(27) **Third**, with respect to the financing of the acquisition of the Divestment Business by Keysight, Keysight intends to fund that acquisition through […], and potentially by […].[25] It is also possible that Keysight will […].[26]

(28) Therefore, the Trustee considered that "*Keysight appears to have […] necessary to fund the purchase of the Divestment Business*".[27]

(29) In addition, the Trustee has not identified any concerns regarding Keysight's ability to […] to fund the proposed purchase of the Divestment Business or to […].[28]

(30) **Four**, Keysight intends to acquire another company, Spirent.

(31) The Trustee confirmed that the acquisition of Spirent should not affect Keysight's ability to finance the purchase of the Divestment Business, as it would still have sufficient funds to finance the purchase of the Divestment Business.[29]

(32) The Commission considers that, based on the information provided by the Parties and Keysight (and verified by the Trustee), Keysight has sufficient liquidity and financial resources to finance the acquisition of the Divestment Business as well as to maintain and develop the Divestment Business as a viable and active competitive force in competition with the Parties and other competitors.

2.2.2. Proven expertise

(33) **First**, Keysight has an expertise in operating software business activities, including EDA software which represents […]% of Keysight's total software revenue. Keysight's total software revenue is of USD [1 - 2 billion] in 2024, and represents […]% of Keysight's total revenue.[30]

(34) Keysight's EDA business has [grown] since 2014 due to (i) organic growth, (ii) past acquisitions, and (iii) global software salesforces, and Keysight expects that this trend will continue.[31]

(35) The Parties have also highlighted that EDA business is a software business and Keysight's core business is to supply hardware for design, emulation, and testing of electronic systems. Examples of hardware that Keysight supplies include oscilloscopes, spectrum analysers, power supplies, and signal generators.[32]

(36) The Trustee considered that Keysight is an established global hardware and software provider with expertise in design, emulation, and testing solutions for

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23 Reasoned Opinion, paragraph 5.3.25.
24 Reasoned Opinion, paragraphs 5.3.9, 5.3.10 and 5.3.25.
25 Reasoned Proposal, paragraph 15.
26 Reasoned Proposal, paragraph 15.
27 Reasoned Opinion, paragraph 5.3.21.
28 Reasoned Opinion, paragraph 5.3.17.
29 Reasoned Opinion, paragraph 5.3.26.
30 Reasoned Proposal, Annex 1, slide 10.
31 Reasoned Proposal, paragraph 20 and Reasoned Proposal, Annex 1, slide 10.
32 Reasoned Proposal, paragraphs 8 and 10.

electronic systems, successfully growing its business to serve over three thousand customers.[33] In addition, the Trustee highlighted that Keysight is a recognised partner in various projects within the relevant markets and a known supplier to semiconductor, aerospace and defence, and automotive companies worldwide.[34]

(37) **Second**, Keysight has emphasised the existence of synergies between Keysight's automotive offering and the OSG Divestment Business, in particular in respect of *RSoft*, *Code V* and *LightTools*, and *LucidShape*.[35]

(38) With respect to the PCA Divestment Business, the Parties explain that currently "*Ansys does not employ any sales personnel that specialize in* [the PCA Divestment Business]".[36] According to the Parties, Keysight's salesforce with its current expertise in the EDA sector, is well placed to maintain the PCA Divestment Business' existing position and grow its business.[37] The Commission considers this is even more true as Keysight's salesforce will be supplemented by additional people from Ansys' team with experience selling *PowerArtist.*

(39) **Third**, Keysight has a successful track record in acquiring and integrating businesses into its organisation, including software businesses like the Divestment Business, as also highlighted by the Parties.[38]

(40) The Trustee has reviewed Keysight's past acquisitions and confirmed that Keysight has successfully integrated several software businesses, with varied cultures, management teams, employees, and business infrastructures into its existing operations while minimising disruption to the newly acquired businesses' operations.[39]

(41) Keysight has confirmed its experience in integrating third-party businesses, as exemplified by its recent acquisitions like Cliosoft, Inc. – a company offering tools for design management and collaboration - Easics NV – a company providing custom Application-Specific Integrated Circuits ("**ASIC**") design services or Riscure Holding B.V. – a company offering security testing and evaluation services for hardware and software.[40]

(42) The Commission noted that Keysight has a successful track record of numerous acquisitions and integrations of businesses. In particular, Keysight has acquired businesses related to the software design and EDA sectors and is capable of working on several acquisitions at the same time. Between 2023 to mid-2025, Keysight has closed [several] acquisitions, all of which it has integrated into Keysight or is on track to do so in the coming months.[41]

(43) In light of the Reasoned Proposal and the Trustee's Reasoned Opinion, the Commission therefore considers that Keysight has the proven expertise to maintain and develop the Divestment Business as a viable and active competitor, based on

33 Reasoned Opinion, paragraph 5.4.3.
34 Reasoned Opinion, paragraph 5.3.33.
35 Reasoned Proposal, paragraphs 24 and 25.
36 Reasoned Proposal, paragraph 26.
37 Reasoned Proposal, paragraph 26.
38 Reasoned Proposal, paragraphs 21 and 22.
39 Reasoned Opinion, paragraph 3.4.
40 Reasoned Proposal, paragraph 22.
41 Reasoned Proposal, paragraph 22.

Keysight expertise in software businesses, the synergies between Keysight and the Divestment Business, and its track record in acquisitions and integrations.

2.2.3. Incentive to maintain and develop the Divestment Business

(44) **First**, Keysight has highlighted the following long-term development plan arising from the acquisition of the Divestment Business:

(a) ***The acquisition of the OSG Divestment Business*** will provide Keysight with a suite of software solutions for optical systems design, analysis, simulation, and virtual prototyping and a seasoned team with deep industry expertise. This will broaden Keysight's software portfolio and will build on its core positions EDA and physics-based computer-aided engineering capabilities.

(b) ***The acquisition of the PCA Divestment Business*** will provide a new offering in digital design and analysis and will enable Keysight to further expand into semiconductor workflows.[42]

(45) According to the Parties, as part of the selection process, Keysight has demonstrated the incentive and intention to ensure that the OSG Divestment Business remains an effective competitor.[43]

(46) The Trustee has considered Keysight's rationale for the acquisition of the Divestment Business, growth and expansion strategy, as well as its integration plan for the Divestment Business and took the view that the acquisition of the Divestment Business "*seems to be a strategic step for Keysight*" and that "*Keysight's business and operational plans for the Divestment Business appear viable*".[44]

(47) **Second**, Keysight has emphasised various synergies between the products of the Divestment Business and Keysight's current product portfolio.[45]

(48) Based on the business and operational plans presented by Keysight and reviewed by the Trustee, Keysight appears well-positioned to effectively maintain and develop the Divestment Business, as it will expand its overall expertise and its existing product portfolio.[46]

(49) In addition, given Keysight's track record of numerous acquisitions and integrations of businesses including in the EDA sector, the Commission takes the view that Keysight can leverage its acquired expertise from its acquisitions to maintain and further develop the Divestment Business. In addition, Keysight plans to invest heavily in the Divestment Business, which proves its determination to maintain and development the Divestment Business.

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42 Reasoned Opinion, paragraph 5.3.42.

43 Reasoned Proposal, paragraph 28.

44 Reasoned Opinion, paragraph 5.4.4.

45 Reasoned Proposal, paragraph 25.

46 The Commission has received a submission from a third-party market participant questioning Keysight's suitability as the Purchaser of the PCA Divestment Business. In particular, the market participant explains that Keysight will have limited incentive to maintain and develop the PCA Divestment Business due to existing partnership with the Parties. However, and as assessed above in section 2.1.1.1, the existing partnerships and commercial links between Keysight and the Parties do not appear to be material and Keysight does not seem to be dependent on the relationships with either of the Parties. Therefore, the Commission considers it will not undermine Keysight's incentive to maintain and develop the Divestment Business.

(50) In light of the above, The Commission therefore concludes that Keysight has the incentive to maintain and develop the Divestment Business as a viable and active competitor in the relevant markets.

2.3. Absence of prima facie competition problems or implementation risks

(51) According to paragraph 18(c) of the Commitments, the acquisition of the Divestment Business by the purchaser must neither be likely to create, in light of the information available to the Commission, *prima facie* competition concerns nor give rise to a risk that the implementation of the Commitments will be delayed. Based on the information provided by Keysight and the Trustee, the Commission considers that these criteria are fulfilled by Keysight.

2.3.1. Absence of prima facie competition concerns

(52) The Parties have submitted that the acquisition of the Divestment Businesses by Keysight will not give rise to competition concerns.[47]

(53) The acquisition of the Divestment Business by Keysight will not *prima facie* give rise to competition concerns.

2.3.1.1. OSG Divestment Business

(54) Keysight is not active in the field of optics software, where the OSG Divestment Business offers its *Code V*, *LightTools*, and *LucidShape* solutions. There is also no overlap between Keysight and the OSG Divestment Business in the field of photonics software.[48]

(55) The Trustee reported that the acquisition of the Divestment Business by Keysight does not appear to raise any apparent competition concerns because Keysight and the OSG Divestment Business operate in different segments with no directly competing product offerings.[49] The Parties also submit, without being contradicted by the Trustee, that Keysight's market position in any market which may be neighbouring or in a vertical relationship with markets in which the OSG Divestment Business operates would not be sufficiently appreciable to give rise to any vertical or conglomerate competitive concerns.[50]

(56) The Commission therefore considers that the acquisition of the OSG Divestment Business by Keysight would not be likely to create *prima facie* competition concerns.

(57) This *prima facie* assessment is based on the information available to the Commission for the purpose of this decision and does not prejudge the competition assessment of the acquisition of the OSG Divestment Business by Keysight by a competent competition authority under applicable merger control rules. According to the Parties, the acquisition of the OSG Divestment Business is subject to merger control in Turkey.[51] On 6 March 2025, the Turkish Competition Authority unconditionally cleared the acquisition of the OSG Divestment Business by

47 Reasoned Proposal, paragraph 32.
48 Reasoned Opinion, paragraphs 6.3.3 and 6.3.4.
49 Reasoned Opinion, paragraph 6.4.1.
50 Reasoned Proposal, paragraphs 37 and 38.
51 Reasoned Proposal, paragraph 39.

Keysight, thus dispelling any risk that the implementation of the Commitments will be delayed in this regard.[52]

2.3.1.2. PCA Divestment Business

(58) Keysight does not have a competing RTL power consumption analysis tool. There is no vertical relationship between Keysight and Ansys, and none will arise as a result of the acquisition of the PCA Divestment Business by Keysight.

(59) The Trustee reported that the acquisition of the Divestment Business by Keysight does not appear to raise any apparent competition concerns because Keysight and the PCA Divestment Business operate in different segments with no directly competing product offerings.[53]

(60) The Commission therefore considers that the acquisition of the PCA Divestment Business by Keysight would not be likely to create *prima facie* competition concerns.

(61) This *prima facie* assessment is based on the information available to the Commission for the purpose of this decision and does not prejudge the competition assessment of the acquisition of the PCA Divestment Business by Keysight by a competent competition authority under applicable merger control rules. According to the Trustee, Keysight's acquisition of the PCA Divestment Business is not reportable in any jurisdiction, so there is no risk that the implementation of the Commitments will be delayed.[54]

2.3.2. Absence of other implementation risks

(62) The Parties have submitted that the acquisition of the Divestment Businesses by Keysight will not give rise to risks that the implementation of the Commitments will be delayed.[55]

(63) The remedy package including the Divestment Business is subject to the approval of the UK CMA and the US FTC.

(64) On 5 March 2025, the CMA formally accepted the divestment remedy and found Keysight to be a suitable purchaser. Based on exchanges between competition authorities, on the basis of the confidentiality waiver, we understand that the FTC is in the process of assessing Keysight as a suitable purchaser of the Divestment Business.

(65) In view of the foregoing and taking into account the Reasoned Opinion submitted by the Trustee, the Commission considers that the acquisition by Keysight of the Divestment Business does not give rise to *prima facie* competition concerns nor to a risk that the implementation of the Commitments will be delayed.

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52 Reasoned Opinion, paragraph 6.3.6.
53 Reasoned Opinion, paragraph 6.4.1.
54 Reasoned Opinion, paragraph 6.2.6.
55 Reasoned Proposal, paragraph 32.

2.3.2.1. Keysight's activities in the EDA sector for the PCA Divestment Business

(66) Pursuant to paragraph 18(d) of the Commitments, the purchaser of the PCA Divestment Business shall be active in the EDA sector. Based on the information provided by the Parties, Keysight and the Trustee, the Commission considers that this criterion is fulfilled by Keysight.

(67) **First**, the Trustee has reported that Keysight is active in this EDA sector.[56] This position is consistent with the Parties' submission, which explains that Keysight offers Radio Frequency (RF) and Microwave EDA tools, largely focused on monolithic microwave IC (MMIC) applications and RF Module and printed circuit board (PCB).[57]

(68) **Second**, Keysight is not active in RTL power consumption analysis and overall RTL-related applications.[58]

(69) In view of the foregoing and taking into account the Reasoned Opinion submitted by the Trustee, the Commission considers that Keysight is active and appears to be a credible player in the EDA sector.[59]

3. ASSESSMENT OF THE TRANSACTION AGREEMENTS

(70) Pursuant to paragraph 19 of the Commitments, the final binding sale and purchase agreement (as well as ancillary agreements) relating to the divestment of the Divestment Business shall be conditional on the Commission's approval.

(71) On 3 September 2024, Synopsys signed a purchase agreement for the sale of the OSG Divestment Business to Keysight, the OSG PA. On 21 December 2024, Ansys signed a purchase agreement for the sale of the PCA Divestment Business to Keysight, the PCA PA. On 29 April 2025, following discussions on material points raised by the Commission and the Trustee, Synopsys signed a side letter to the Transaction Agreements (the '**Side Letter'**).

(72) The Commission considers that the Transaction Agreements, together with the Side Letter, are in line with the Commitments for the following reasons.

3.1. Scope

3.1.1. OSG Divestment Business

(73) The divestment involves Synopsys' entire optical and photonics device simulation business, which includes the entirety of Synopsys' optics and photonics software, including *Code V*, *LightTools*, *LucidShape*, *RSoft* and the recently announced *ImSym*.

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56 Reasoned Opinion, paragraph 7.3.3.

57 Reasoned Proposal, paragraph 12.

58 Reasoned Opinion, paragraph 7.3.4.

59 The Commission has received a submission from a third-party questioning Keysight's suitability as the purchaser of the PCA Divestment Business, in particular due to its limited presence in the EDA segments that are directly adjacent or related to RTL power consumption analysis. For the reasons set out in this section, the Commission considers that Keysight complies with the condition in paragraph 18(d) of the Commitments.

(74) The OSG Divestment Business includes all assets and staff that contribute to the current operation, in particular all tangible and intangible assets, intellectual property rights, all licences, permits and authorisations issued by any governmental organisation, contracts, leases, commitments and customer orders, customer contracts, credit and other records, as well as members of staff, including all employees currently working, full time or part time, on optics and photonics device simulation business activities. It also encompasses personnel necessary to maintain the viability and competitiveness of the OSG Divestment Business ("**Key Personnel**").

(75) In addition, the divestment includes several transitional supply arrangements related to IT, facilities, misdirected cash payments, data migration, facilities and knowledge transfer.

(76) According to the Trustee, sections 1.01-1.03 of the OSG PA are consistent with the general description of the OSG Divestment Business in the Commitments.[60] The Commission therefore concludes that the scope of the OSG PA is consistent with the Commitments.

3.1.2. PCA Divestment Business

(77) The divestment involves Ansys' RTL power consumption analysis product *PowerArtist* and related assets including the business activities comprised of researching, developing, distributing, licensing, selling, marketing, commercializing and otherwise making available the *PowerArtist* product.

(78) The PCA Divestment Business includes all assets and staff that contribute to the current operation or are necessary to ensure the viability and competitiveness of the PCA Divestment Business, in particular, all intangible assets (including patents and intellectual property rights), all licences, permits and authorisations issued by any governmental organisation, contracts, leases, commitments and customer orders, customer contracts, credit and other records, as well as members of staff, including all personnel required to effectively operate the PCA Divestment Business and including at least 40 personnel across Product Management, R&D, and Application Engineering functions. It also encompasses personnel necessary to maintain the viability and competitiveness of the PCA Divestment Business ("**Key Personnel**").

(79) According to the Trustee, sections 1.01-1.02 of the PCA PA are consistent with the general description of the PCA Divestment Business in the Commitments.[61] The Commission therefore concludes that the scope of the PCA PA is consistent with the Commitments.

3.2. Sale in a manner consistent with the Commitments

(80) **First**, pursuant to paragraph 14 of the Commitments, the Parties undertake, subject to customary limitations, not to solicit, and to procure that undertakings affiliated to the Parties do not solicit the Key Personnel transferred with the Divestment Business for a period of […] after the transfer of the legal title to the Divestment Business to the purchaser ("**Closing**").

60 Reasoned Opinion, paragraph 8.15.2.
61 Reasoned Opinion, paragraph 8.16.2.

(81) The Trustee identified a discrepancy on the duration and scope of the non-solicitation clause between the Commitments and the OSG PA.[62] Section 5.17(a) of the PCA PA pertains to Synopsys' obligation not to solicit employees of the OSG Divestment Business for a period of […].[…].

(82) Synopsys proposed to resolve this issue with the Side Letter. The Commission together with the Trustee consider that the Side Letter, which extends the duration of the non-solicitation obligation for Key Personnel to […] post-Closing, removes the identified discrepancy.[63]

(83) **Second**, the Trustee considered that the provisions relating to the transfers of the IP assets within the Transaction Agreements are consistent with the framework of the Commitments.[64]

(84) In addition, pursuant to Schedule 1 of the Commitments, Synopsys and the purchaser will enter into a customary arrangement whereby (i) Synopsys will agree not to enforce its retained intellectual property ("**IP**") rights (as they exist as of the time of closing of the Divestment Business sale) against the purchaser in order to prevent it from operating the OSG Divestment Business, and (ii) the purchaser will agree not to enforce IP rights transferred with the OSG Divestment Business (as they exist as of the time of Closing) against Synopsys, to the extent any such rights are used in or necessary for the operation of the retained business' activities unrelated to the OSG Divestment Business. Schedule 1 requires any such customary arrangement to be set out in the final binding sale and purchase agreement and subject to the assessment by the Monitoring Trustee and the Commission. Similar customary arrangement is set out between Ansys and the purchaser pursuant to Schedule 2 of the Commitments.

(85) The Transaction Agreements do not contain a separate non-assertion clause and the Parties have not entered into, or intended to enter into, separate non-assertion agreement. However, the Parties submitted that they safeguarded any IP asset transferred to the purchaser from being legally challenged by ensuring all transfers of IP assets are unequivocal, clear and legally valid.[65]

(86) The Parties have further explained that the fact that an IP asset is transferred to the Purchaser in a legally valid and adequate manner serves as a self-executable, non-assertion mechanism or its substitute. The transfer of the IP asset is safeguarded by Synopsys and Ansys' obligation not to sue Keysight in relation to any IP asset subject to transfer, including under the IP asset retained by either Synopsys or Ansys, […].[66]

(87) The Trustee considered that both Transaction agreements provide for sufficient non-assertion safeguards for the Purchaser and the proper execution of the IP assets' transfer can, in itself, provide for an adequate non-assertion mechanism to achieve the relevant objectives in the Commitments.[67] The Trustee will continue monitoring the transfer of IP assets during the divestiture period.

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62 Reasoned Opinion, paragraphs 8.15.32-8.15.35.
63 Reasoned Opinion, paragraph 8.15.39.
64 Reasoned Opinion, paragraph 8.6.2.
65 Reasoned Opinion, paragraph 8.7.4.
66 Reasoned Opinion, paragraph 8.7.5.
67 Reasoned Opinion, paragraph 8.7.6.

(88) **Third**, Synopsys has signed customer contracts with third parties which include services that are both provided by OSG and Synopsys more broadly. Ansys has signed similar customer contracts, which include services that are both provided by the PCA Divestment Business and other businesses of Ansys more broadly ("**Shared Customer Contracts**").

(a) ***The OSG Divestment Business:*** Paragraph 2.9 of Schedule I of the Commitments provides that the OSG Divestment Business will include all customer contracts in the OSG Divestment Business. This is reflected in […] of the OSG PA. Paragraph 3.1 of Schedule I of the Commitments provides that the OSG Divestment Business will not include the […] Shared Customer Contracts that Synopsys identified, that will be […]. Synopsys has confirmed that […] of contracts […] of the OSG-dedicated customer contracts do not require consent for assignment. Synopsys will transfer those freely to Keysight at Closing. Synopsys is in the process of obtaining […]. Synopsys has agreed with Keysight's […] to ensure that the relevant shared contracts continue post-Closing, if required.

(b) ***The PCA Divestment Business:*** Paragraph 2 (d) of Schedule I of the Commitments provides that Shared customer contracts will be split between signing and Closing and Ansys will use best efforts to support the purchaser to enter into new agreements with relevant customers. Ansys has made a considerable effort to transfer all shared contracts and is working to transfer all of those before Closing. Few shared contracts remain outstanding; those represent circa […] out of a total of […].[68] Ansys has agreed with Keysight […] to ensure that the relevant shared contracts continue post-Closing, if required.

(89) Given Synopsys and Ansys' significant progress in transferring Shared Customer Contracts, the Trustee and the Commission considers that the Parties have adequately safeguarded the continued viability and competitiveness of the Divestment Business.

(90) **Fourth**, the Trustee have identified some changes in the lists of personnel transferring with the Divestment Business (excluding Key Personnel).

(a) ***The OSG Divestment Business:*** Synopsys has provided an updated list of employees transferred with the OSG Divestment Business, and the Trustee has identified some changes between this list and the number of employees set out in the Commitments. However, this raises no concerns as the total number of transferred employees increased from […] (as provided in the Commitments) to […], due to new hires, staff departures or staff moves between departments.

(b) ***The PCA Divestment Business:*** Ansys has provided an updated list of employees transferred in the PCA Divestment Business. […]. Ansys has informed the Trustee that the PCA Divestment Business now includes […] personnel, and […] additional sales personnel who accepted Keysight's offers.[69] The additional personnel have been agreed with Keysight.[70] The

68 Email from Ansys on 20 May 2025 and from the Trustee on 21 May 2025.
69 Email from Ansys on 20 May 2025 and from the Trustee on 21 May 2025.
70 Reasoned Opinion, paragraph 8.16.18.

Parties have submitted that Keysight is aware of the discrepancy and has not raised issues in this regard. […].[71]

(91) In light of the above considerations and taking into account the information provided by Keysight and the Parties, as well as the Reasoned Opinion submitted by the Trustee, the Commission considers that the Transaction Agreements, as modified by the Side letter, are consistent with the Commitments.

4. CONCLUSION

(92) On the basis of the above assessment, the Commission approves Keysight as a suitable purchaser for the above-mentioned reasons.

(93) On the basis of the Transaction Agreements, the Commission further concludes that the Divestment Business is being sold in a manner consistent with the Commitments.

(94) This decision only constitutes approval of the Proposed Purchaser identified herein and of the Proposed Agreement. This decision does not constitute a confirmation that Synopsys and/or Ansys have complied with their Commitments.

(95) This decision is based on Section D of the Commitments attached to the Commission Decision of 10 January 2025.

For the Commission

(Signed)
Olivier GUERSENT
Director-General
Directorate-General for Competition

[71] Email from Ansys on 20 May 2025 and from the Trustee on 21 May 2025.